

the simple ideas—price-to-earnings ratios, dividend yields, price-to-book ratios, P/E-to-growth ratios, 52-week-low lists, technical charts, and any other elementary ways we can think about a stock—are unlikely to provide easy profits. “If there is any market inefficiency, hence any investment opportunity,” says Treynor, “it will arise with the second kind of investment idea—the kind that travels slowly. The second kind of idea—rather than the obvious, hence quickly discounted insight relating to ‘long-term’ business developments—is the only meaningful basis for long-term investing.”²

You have, I’m sure, already realized that the investment tenets outlined in *The Warren Buffett Way* are the ideas that “travel slowly” and that relate to “‘long-term’ business developments,” and thus are the basis for “long-term investing.” Let’s be clear: The slow-moving idea is not intellectually difficult to grasp, but it is more laborious than relying on the “straightforward and obvious.”

System 1 and System 2

For years, psychologists have been interested in the idea that our cognition processes are divided into two modes of thinking, traditionally referred to as intuition, which produces “quick and associative” cognition, and reason, described as “slow and rule-governed.” Today, psychologists routinely refer to these cognitive systems as System 1 and System 2 thinking. System 1 thinking is where simple and straightforward ideas travel quickly. It takes little time and not much intellectual work to calculate a price-earnings ratio or a dividend yield.

System 2 thinking is the reflective part of our cognition process. It operates in a controlled manner, slowly and with effort. Our “slow-moving ideas” that require “reflection, judgment, and special expertise” are housed in System 2 thinking.

In 2011, the Nobel laureate Daniel Kahneman wrote an important book titled *Thinking Fast and Slow*. It was a *New York Times* best seller and one of the top five nonfiction books that year—quite an accomplishment for a 500-page book on decision making. My favorite part of the book is Chapter 3, “The Lazy Controller.” Kahneman reminds us that cognitive effort is mental work, and, as with all work, many of us have the tendency to get